

TURN BOTTLENECKS INTO OPPORTUNITIES



Transform these Challenges into Opportunities for Growth

Today's automotive service departments face a growing challenge. Customers expect quick, reliable service, but many dealerships struggle to meet these expectations. While this might sound concerning, on the surface there's good news -- smart solutions exist to build these challenges into opportunities for growth.

UNDERSTANDING THE IMPACT

According to J.D. Power's 2023 study, customers who experience longer-than-expected wait times are 72% more likely to switch to independent shops. This translates to significant revenue loss - Cox Automotive reports dealerships lose an average of \$380,000 yearly due to inefficient service operations. However, understanding these helps us identify where improvements can make the biggest difference.

THE THREE MAIN BOTTLENECKS

1. Technician Availability - The automotive industry faces a growing technician shortage. NADA projects

that by 2026, dealerships will need 76,000 more technicians than will be available. This shortage affects service speed and quality, but innovative dealerships are finding creative solutions.

2. Parts Management - Parts delays cause about 38% of service slowdowns, according to the Automotive Service Association. When parts aren't readily available, both technicians and customers face frustrating waits. However, new inventory management systems are helping solve this problem.

3. Scheduling Systems - Traditional scheduling methods often create morning rushes and afternoon lulls. This uneven workflow creates stress for staff and longer wait times for customers. Modern scheduling tools offer better solutions.

FIVE WAYS TO IMPROVE SERVICE OPERATIONS

1. Digital Vehicle Inspections Transform Trust - Modern customers value transparency above all else.

When technicians share video explanations of needed repairs, something remarkable happens - trust grows instantly. According to J.D. Power, shops using video inspections see repair order values increase by up to 25%. This simple technology helps customers understand exactly what their vehicle needs, making them more confident in approving necessary work. When customers can see the worn brake pads or hear the unusual engine noise for themselves, they become partners in the repair decision rather than skeptical consumers.

2. Smart Parts Management Makes a Difference - The best service departments have moved beyond reactive parts ordering to a predictive approach. By analyzing service history and seasonal trends, successful dealers ensure they have the right parts in stock before they're needed. This forward-thinking strategy means repairs start sooner and finish faster. Advanced inventory systems can now predict which parts will be needed based on scheduled appointments, virtually eliminating those frustrating "waiting for parts" delays that customers hate.

3. Invest in Your Technical Team - Creating an attractive workplace isn't just about competitive pay - it's about building a culture where technicians want to stay and grow. Performance-based pay plans reward efficiency and quality work. Regular training oppor-

tunities keep skills sharp and show technicians you're invested in their future. Flexible scheduling options acknowledge that work-life balance matters. When you add mentorship programs connecting experienced techs with newcomers, you create a supportive environment that naturally reduces turnover.

4. Smarter Scheduling Systems - Modern scheduling technology has transformed how successful service departments operate. Instead of the traditional first-come, first-served approach, advanced systems match technicians with jobs that fit their expertise. This intelligent scheduling spreads work evenly throughout the day, preventing morning bottlenecks and afternoon lulls. Service managers can now optimize bay usage and technician time, leading to shorter wait times and more satisfied customers.

5. Better Customer Communication - Regular updates about service progress shouldn't be a luxury - they should be standard practice. Today's customers expect to know exactly where their vehicle is in the repair process. Service departments that excel at communication keep customers informed through text updates, online tracking systems, and clear timeline expectations. When delays occur, proactive communication helps maintain customer confidence and patience. This open communication style builds trust and encourages long-term loyalty.



Each of these improvements builds on the others, creating a more efficient and customer-focused service department. The key is choosing where to start based on your department's specific needs and implementing changes at a pace your team can embrace. The goal isn't just to fix cars faster - it's to create an experience that keeps customers coming back year after year.

THE PATH FORWARD

Success in today's service department requires embracing new technologies and approaches. The good news is that these changes don't have to happen all at once. Start with one or two improvements and build from there. Focus on changes that will make the biggest difference for your specific situation.

THE FUTURE IS BRIGHT

While service departments face real challenges, the solutions are within reach. By focusing on efficiency, communication, and customer service, dealerships can turn their service operations into powerful profit centers. The key is taking action now to implement positive changes.

Remember, success in service isn't just about fixing cars - it's about creating an experience that keeps customers coming back. With the right approach, your service department can become a model of efficiency and customer satisfaction.



Corey Smith brings nearly 26 years of Fixed Operations experience in the automotive industry and is a sought-after expert in service drive and fixed ops training. He is an expert in process development and improvement as well

as training and business development strategies, with a proven success rate sustaining increases in revenue, service drive traffic and reduction in expenses, all while maintaining the highest level of employee and customer retention.

